

Maa Bhagwati Rice Industries And Another v. State of U.P. And 7 Others

Allahabad High Court · Division Bench · 24 September 2021 · Writ - C No. 21650 of 2021 · **Notice issued; Clause 4.3(iv) vires not decided; writ pending**

HEADNOTE

Where purchasers of the assets of a company in liquidation, who say they are not bound to pay that company's electricity dues, are refused a fresh connection because those dues remain outstanding, and they challenge Clause 4.3(iv) of the U.P. Electricity Supply Code, 2005 — under which outstanding dues of a connection provided to a company are a first charge on its assets — as not contemplated by the Electricity Act, 2003, as beyond delegated legislation, and as violating Article 300-A, the Court records that the matter requires consideration, issues notice including to the Advocate General, and calls for counters. A later modification application offering a bank guarantee pending the vires challenge was listed for instructions and was not decided. Subsequent sheets only adjourn. Clause 4.3(iv) is not construed, no connection is directed, and the writ remains pending.

FACTUAL SUMMARY

Maa Bhagwati Rice Industries and another claim to have purchased the assets of respondent no. 6, a company in liquidation, and thereby to have become owners of the property. They say they are not otherwise bound to pay that company's electricity dues. A fresh electricity connection was nonetheless not being provided because those predecessor dues remained unpaid.

They questioned the validity of Clause 4.3(iv) of the U.P. Electricity Supply Code, 2005, under which outstanding dues of a connection provided to a company are a first charge on the company's assets, as a charge not contemplated by the Electricity Act, 2003, as beyond the power of delegated legislation unless specifically conferred by statute, and as violating Article 300-A of the Constitution. On a modification application they offered a bank guarantee so as not to lose their money if the clause were struck down.

HOLDING-UNITS

INTERPLAY · UP-2005::4.3(f)(iv)

vires challenge to the first-charge clause by a purchaser of liquidation assets refused a new connection for predecessor dues; notice issued, not decided

QUESTION

May a purchaser of a company in liquidation's assets obtain a fresh connection without discharging that company's electricity dues, on the ground that Clause 4.3(iv) of the Supply Code, creating a first charge on the company's assets, is ultra vires the Electricity Act, 2003 and Article 300-A?

HOLDING

Not decided on merits. Recording that the petitioners, purchasers of a company in liquidation's assets, claimed they were not bound to pay that company's electricity dues, and that they challenged Clause 4.3(iv) as creating a first charge not contemplated by the Electricity Act, 2003 and as violating Article 300-A, the Court held that the matter required consideration, issued notice including to the Advocate General, and called for counters. A modification application offering a bank guarantee pending the vires challenge was listed for the licensee's instructions and was not ruled on. Later sheets granted further time for a counter and, on 26.8.2022, listed the matter before the appropriate Bench as relating to grant of an electricity connection. Clause 4.3(iv) was not construed and no connection was directed. ¶ 1

QUALIFIER

Interlocutory (24.9.2021, Manoj Misra, J. and Jayant Banerji, J.). Writ remains pending on this source.

FLAG Source PDF concatenates seven unnumbered order-sheets treated as paras 1–7: 24.9.2021 (admission and notice to the Advocate General; Manoj Misra, J. and Jayant Banerji, J.), 17.11.2021 (modification application listed before the

regular Writ-C Bench, same bench; recites the prior order as 24.08.2021, a slip for 24.09.2021), 3.12.2021 (bank-guarantee offer; Siddhartha Varma, J. and Om Prakash Tripathi, J.), 7.12.2021 (further time for counter; Manoj Kumar Gupta, J. and Om Prakash Tripathi, J.), 15.12.2021 (listing; Pritinker Diwaker, J. and Ashutosh Srivastava, J.), 10.1.2022 (listing; Anjani Kumar Mishra, J. and Vikram D. Chauhan, J.), and 26.8.2022 (list before the appropriate Bench as relating to grant of electricity connection; Manoj Kumar Gupta, J. and Ram Manohar Narayan Mishra, J.). Coram is the 24.9.2021 admission bench. The Court cited 'Clause 4.3 (iv)'; keyed to Clause 4.3(f)(iv) (dues as a first charge on company assets). Catalog hits on 4.3(f)(iii)/(v)/(vi), 4.3(g)/(h), 4.35–4.39, IBC s.238, landlord co-extensive liability, director retrospectivity, and search-seizure are false positives.

PRINCIPLE TAGS

clause-4.3f-iv-electricity-dues-first-charge-over-bank-mortgage The writ attacks Clause 4.3(iv) of the 2005 Code, described as making outstanding dues of a company-consumer a first charge on its assets, as ultra vires the Electricity Act, 2003 and Article 300-A. Notice issued; the first-charge clause was not construed. ¶ 1

no-new-connection-while-predecessor-dues-outstanding-clause-4.3f A fresh connection was withheld from purchasers of a company in liquidation's assets because that company's electricity dues remained unpaid. The petitioners claimed they were not bound to pay those dues; the Court issued notice and did not direct a connection. ¶ 1, 3

procedural-listing-no-construction After admission, notice to the Advocate General, an undecided bank-guarantee offer, and adjournments, the last sheet listed the writ before the appropriate Bench as relating to grant of an electricity connection. Clause 4.3(iv) remains adjudicated. ¶ 1-7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.3(IV) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, MAKING OUTSTANDING DUES OF A COMPANY-CONSUMER A FIRST CHARGE ON ITS ASSETS, IS ULTRA VIRES THE ELECTRICITY ACT, 2003 AND ARTICLE 300-A

Raised as the principal challenge; the Court held only that the matter required consideration and issued notice to the Advocate General. ¶ 1

NOT DECIDED — WHETHER A PURCHASER OF A COMPANY IN LIQUIDATION'S ASSETS IS BOUND TO DISCHARGE THAT COMPANY'S ELECTRICITY DUES AS A CONDITION OF A FRESH CONNECTION

The petitioners claimed they were not otherwise bound; connection was withheld for those dues; no mandamus issued. ¶ 1, 3

NOT DECIDED — WHETHER A BANK GUARANTEE WOULD SUFFICE IN LIEU OF CLEARING THE PREDECESSOR DUES PENDING THE VIRES CHALLENGE

Offered on the modification application of 3.12.2021; the licensee was to take instructions; never ruled on this source. ¶ 3